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Short-Term Provisions

After discussing short-term borrowings, let us take a look at short-term provisions.

a. Short Term Provisions/Total Assets

Short term provisions						
Short term provisions/ Total Assets	0.33%	0.30%	0.25%	0.33%	0.34%	0.28%
Payment terms to pay the short term provisions?						
Resources to pay off the short term provisions?						
Short term provisions/CFO	1.34%	1.78%	1.64%	2.34%	1.72%	1.80%

As we can see, short-term provisions/Total assets is a very small number. In FY 2015, it stands at 6.24 percent, which is a comparatively larger number. Over the next few years the number reduces to a very small percentage. As a result, we do not need to dig deep in this case. However, we will want to understand why the sudden decrease in provisions between FY2015 and FY2016. Short-term provisions are the provisions set aside by the company for different expenses.

b. Payment terms to pay the short term provisions?

There are two questions that can be asked here-

- ◇ How is the liability to be paid? What are the payment terms? Does it need to be outrightly paid or will it be deducted from the receivables?
- ◇ What are the resources to pay the short-term provisions?

This usually means the assets or earnings from which the provisions will be paid. It is thus a liability where the amount is not known. The company also needs to ascertain the payment terms. In what form and when would these payments be due? For example, the company expects employee-related expenses of "X" amount in the next three months.